

The above image shows a clear price rejection at the resistance trend line aligned with IB low. There is a clear buying wick which is sharp, and the price bounced back immediately. Once it shows such a clear rejection, we can maintain a 'not bearish' view, and you can see that the price displayed sideways to a slightly bullish outlook for the rest of the day.

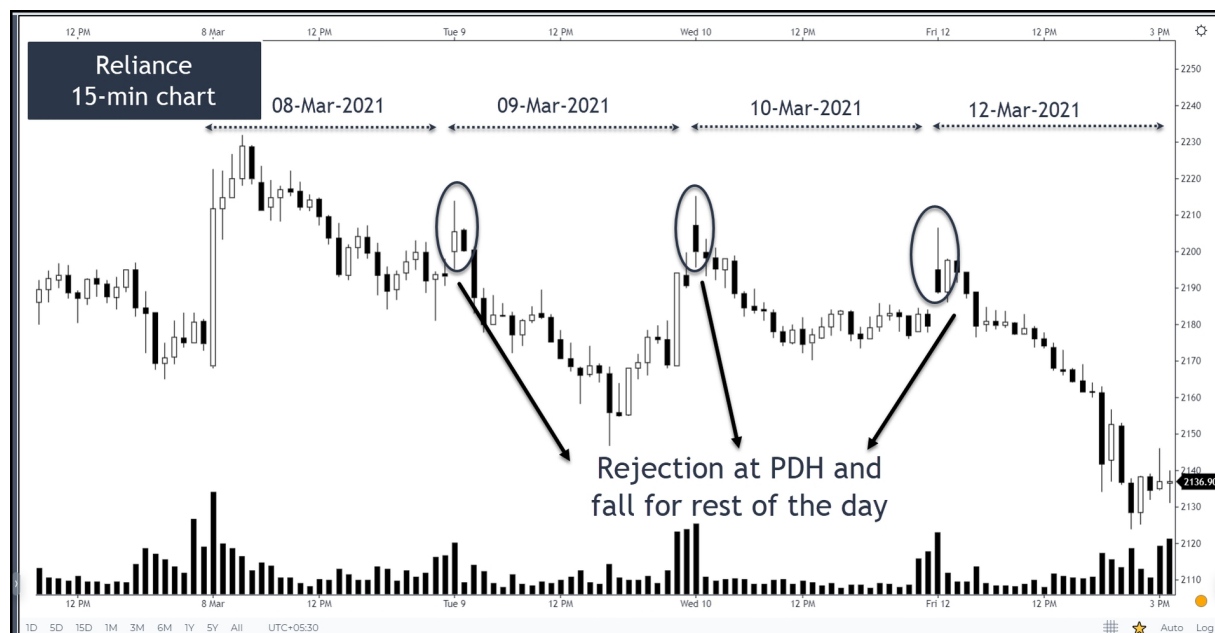


Image 4.23 – Price Rejection in Reliance

Image 4.23 presents an interesting and rare chart. On three successive days, Reliance displayed rejection in the first candle (15-min chart) at PDH and fell for the rest of the day.

Whether you trade price acceptance or price rejection, a stop-loss on the opposite side is mandatory.